

European Daily: France—Staying the Course Despite Higher Energy Prices

- We think that France's economy is better positioned than most other European countries to cope with the increase in energy prices. The two main reasons are that France's industry is smaller and less energy-intensive, while its nuclear power production helps to sever the link between electricity and gas prices. As a result, our 0.8% forecast for annual average growth is only slightly below the government's, Banque de France's and consensus forecasts of 0.9%.
- At the same time, the incoming fiscal information has been encouraging. First, the public deficit turned out to be smaller than expected in 2025, at 5.1% of GDP compared to the government's 5.4% target. Second, the government has so far deployed very limited energy-related fiscal measures, amounting to less than 0.1% of GDP. Third, the government has announced spending cuts to maintain its deficit target at 5.0% of GDP for 2026, which we continue to hold as our forecast.
- We continue to look for muted political uncertainty over the coming months, with no imminent threat to government stability and snap elections off the table. The focus has therefore turned to the 2027 presidential elections and the growing candidate field, with far-right leader Jordan Bardella and former Prime Minister Edouard Philippe currently leading in opinion polls and prediction markets. But the broader political and economic outlook will also depend on the outcome of the likely parliamentary elections, and the economic platforms of most parties remain relatively vague at this stage.

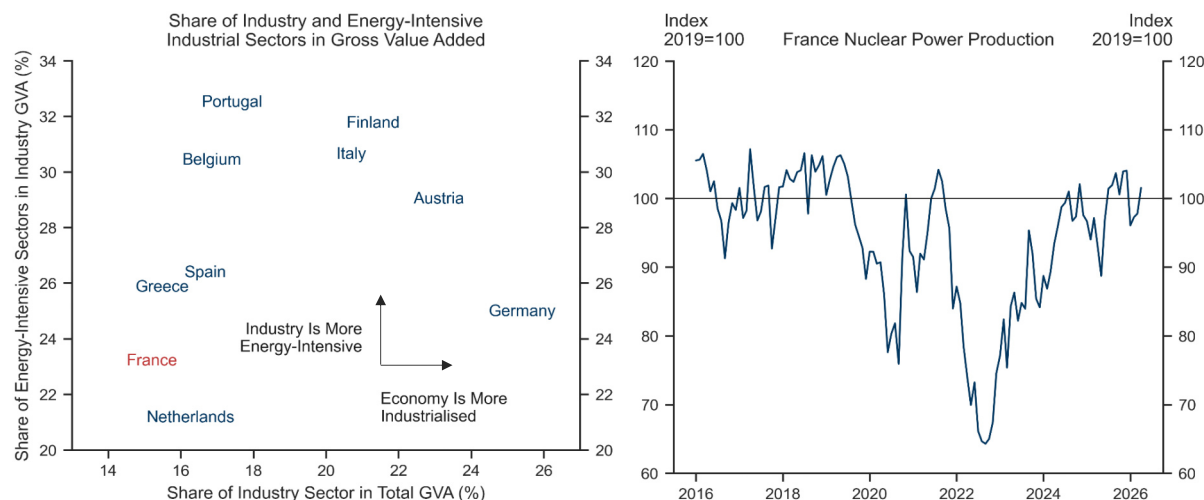
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France—Staying the Course Despite Higher Energy Prices

Today's *Daily* updates our view on France's economic, fiscal and political outlook.

Relatively Less Exposed to Higher Energy Prices

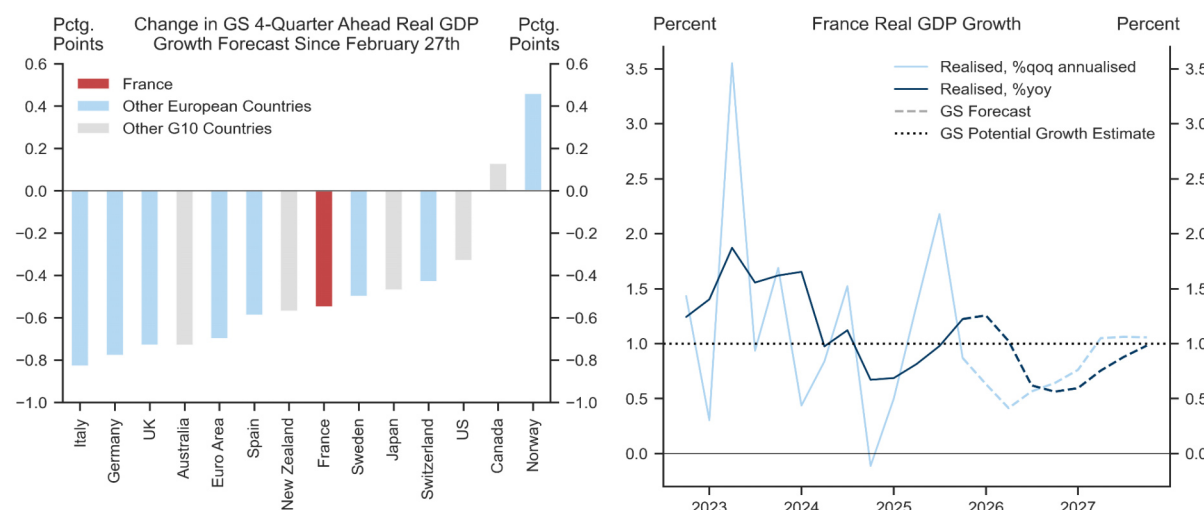
We think that France's economy is relatively well positioned to cope with the increase in energy prices. The first reason is that it is less manufacturing-oriented, and its industry is less energy-intensive than elsewhere in Europe (Exhibit 1, left). Second, nuclear power production is back to normal, after having fallen a third below capacity in 2022 following repairs and outages in 2022 (Exhibit 1, right). We recently showed that France's large nuclear fleet (close to 70% of all power production) makes electricity prices much less sensitive to gas prices than in other European countries.

Exhibit 1: France's Economy is Relatively Well Positioned to Cope With the Increase in Energy Prices

On the right-hand side, the data is shown in monthly seasonally-adjusted averages.

Source: Goldman Sachs Global Investment Research, Haver Analytics

As a result, we have lowered our real GDP growth forecast by less than for most other European economies since the start of the conflict in the Middle East (Exhibit 2, left). We are tracking for gains of 0.1-0.2%qoq (non-annualised) in Q1 and look for growth to run below its trend of 1% for the rest of the year (Exhibit 2, right).

Exhibit 2: We Have Lowered Our Growth Forecast by Less in France Than for Most Other European Economies

Source: Goldman Sachs Global Investment Research, Haver Analytics

We now forecast growth of 0.8% on an annual basis, slightly below the government's, Banque de France's, and consensus forecasts of 0.9%. The risks to our forecast have also become more two-sided—mirroring the judgment of our commodities strategists on energy prices—since the announcement (and recent extension) of a ceasefire between the US and Iran.

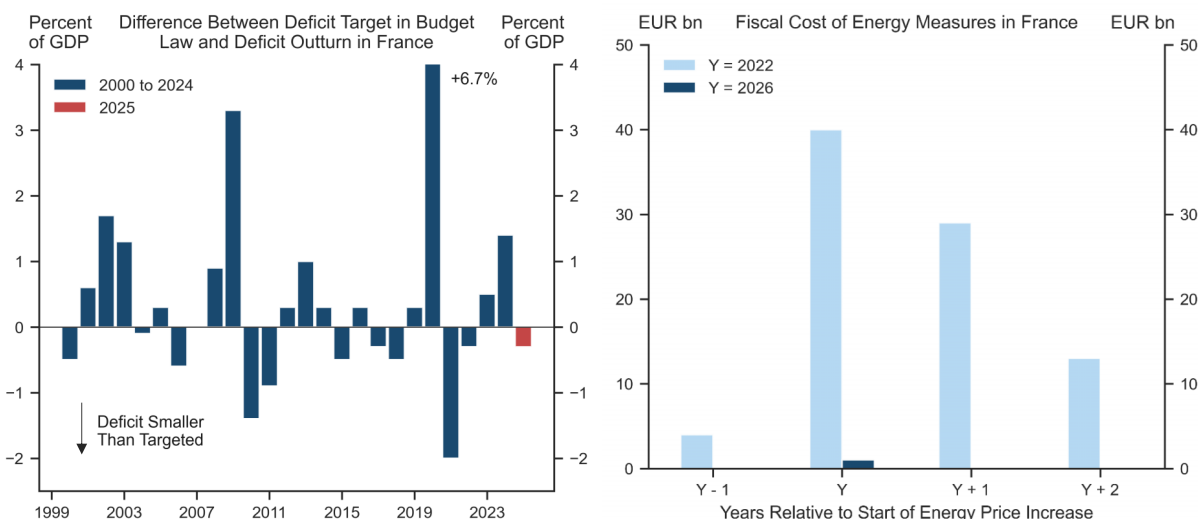
Fiscal Policy Stays the Course

At the same time, the incoming fiscal information has been encouraging. First, the public deficit turned out to be smaller than expected in 2025 (at 5.1% of GDP compared to the

government's 5.4% target) after two years of significant slippage in 2023 and 2024 (Exhibit 2, left).

Second, the government has so far deployed very limited energy-related fiscal measures. The support has been targeted at specific sectors (like transport firms, farmers, and fisheries), vehicle-dependent workers (such as nurses), and lower-income households. The total cost of these measures remains around EUR 1bn (or 0.03% of GDP) for the moment, far below the estimated EUR 100bn disbursed between 2021 and 2024 (Exhibit 2, right).

Exhibit 3: The Incoming Fiscal Information Has Been Encouraging



Source: Goldman Sachs Global Investment Research, Banque de France

Third, the government has announced EUR 6bn of spending cuts to maintain its deficit target at 5.0% of GDP for 2026. These savings are meant to offset the cost of energy-related measures, the increase in inflation-indexed spending, and higher interest payments, as well as the indirect effects of lower growth. The government's reaction to the increase in energy prices has therefore been notably more conservative than elsewhere in Europe.

Our deficit forecast is unchanged: we continue to look for the government to meet its target of 5.0% in 2026 and expect difficult parliamentary negotiations this autumn to pave the way for a small reduction to 4.8% in 2027 (with risks of no-reduction if political parties fail to agree on a budget).

One Year to the 2027 Elections

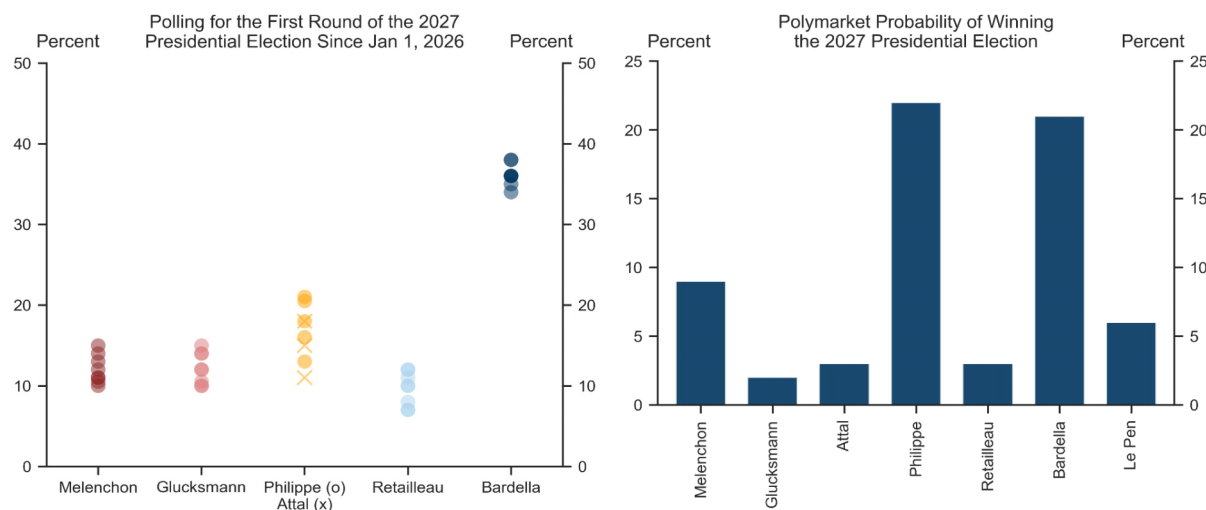
We continue to look for muted political uncertainty over coming months. Prime Minister Lecornu remains in place, with no immediate catalyst to force a resignation; and this autumn's budget negotiations are unlikely to have significant political implications, with snap elections off the table now that the presidential elections are less than one year away.

The focus has therefore turned to the growing field of presidential candidates. Far-right party Rassemblement National will likely formalise Jordan Bardella's nomination if Marine Le Pen loses her first appeal trial in early July; Bruno Retailleau was recently installed as candidate by centre-right party Les Républicains; former Prime Minister

Gabriel Attal is likely to challenge former Prime Minister (and already-declared candidate) Edouard Philippe in the centre; with remaining voters likely to divide themselves between the far-left of Jean-Luc Mélenchon, one or several centre-left figures (such as Raphaël Glucksmann), and other less well-identified candidates.

Opinion polls since the start of the year place Bardella well ahead in the first round of the elections with 34% to 38% of votes, followed by Philippe with around 20% of votes, and other far-left, centre-left, and centre-right candidates with 7% to 15% of votes (Exhibit 4, left). The very few second-round simulations available so far show a tight race between Bardella and Philippe, but a much clearer advantage to Bardella against the centre-left and (in particular) the far-left.

Exhibit 4: Opinion Polls Place Jordan Bardella Well Ahead in the First Round of the 2027 Presidential Elections



Source: Odoxa, OpinionWay, HarrisInteractive, Ifop, Verian, Elabe, Polymarket

Prediction markets therefore assign similar 25-30% probabilities for either the far-right (summing Bardella's and Le Pen's odds) or the centre and centre-right (combining Philippe, Attal, and Retailleau) to claim the presidency (Exhibit 4, right). In contrast, prediction markets see the far-left (with Mélenchon) as less likely to win, with only 10% chances.

We see two additional sources of uncertainty, beyond the outcome of the presidential elections. First, it is unclear whether the next president would be able to secure an absolute majority in the lower chamber of Parliament (a requirement to implement their economic policy). Second, economic platforms remain relatively vague at this stage (including for Rassemblement National) and bear watching over coming months.

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